

Chapter Review

Chapter Summary/Learning Objectives

1-1 Explain the concepts of international business and global business, with a focus on emerging economies.

- IB is typically defined as
 - (1) a business (firm) that engages in international (cross-border) economic activities, and/or
 - (2) the action of doing business abroad.
- Global business is defined in this book as business around the globe.
- This book has gone beyond competition in developed economies by devoting extensive space to competitive battles waged in emerging economies and the base of the global economic pyramid.
- An interesting recent development out of emerging economies is reverse innovation.

1-2 Give three reasons why it is important to study global business.

- Enhance your employability and advance your career in the global economy by equipping yourself with global business knowledge.
- Better preparation for possible expatriate assignments abroad.
- Stronger competence in interacting with foreign suppliers, partners, and competitors, and in working for foreign-owned employers in your own country.

1-3 Articulate one fundamental question and two core perspectives in the study of global business.

- IB's most fundamental question is: What determines the success and failure of firms around the globe?
- The two core perspectives are

(1) the institution-based view and

(2) the resource-based view.

- We develop a unified framework by organizing materials in *every* chapter according to the two perspectives guided by the fundamental question.

1-4 Identify three ways of understanding what globalization is.

- Some view globalization as a recent phenomenon, and others believe that it has been a one-directional evolution since the dawn of human history.
- We suggest that globalization is best viewed as a process similar to the bi-directional swing of a pendulum.

1-5 State the size of the global economy and its broad trends, and understand your likely bias in the globalization debate.

- MNEs, especially large ones from developed economies, are sizable economic entities.
- Current and would-be business leaders need to be aware of their own hidden pro-globalization bias.